

Building Your AI Team

Generative AI for Business Leaders & C-Suite | AI Adoption & Team Structure

1. The Lean Team Mindset

One of the most persistent myths in enterprise AI adoption is that success requires a large, dedicated AI department staffed with PhDs, machine-learning engineers, and an army of data scientists. In practice, the opposite is true for organisations in their first ninety days. Oversized teams create bureaucracy, slow decision-making, and — most dangerously — separate AI from the business units that need to use it. The organisations that move fastest treat AI adoption as a cross-functional capability, not a centralised function.

Think of it like introducing email to a company in 1995. You did not create a Department of Email with its own VP and headcount. You gave people accounts, showed them how the tool worked, and let each function figure out how email improved their workflow. AI adoption follows the same logic — the technology is a capability, not a silo.

Key Point: Start with existing employees in new roles, not new hires in new roles. Four part-time roles covering ten to fifteen people can drive AI transformation for organisations with hundreds or even thousands of staff.

2. What You Do Not Need on Day One

Before examining what you do need, it helps to list the roles and structures that are unnecessary — and often counterproductive — in the first ninety days:

Role / Structure	Why It Can Wait
Chief AI Officer	Adds a governance layer before there is anything to govern. Creates political overhead without delivering business value.
Dedicated AI department or innovation lab	Physically and organisationally separates AI from the business. Pilots succeed when they are embedded in operational teams, not run by a separate lab.
Machine-learning engineers / data scientists	Off-the-shelf tools (ChatGPT Enterprise, Copilot) handle ninety percent of early use cases. Custom model work comes later, if at all.
AI PhDs or technical specialists	Specialists speak a different language from business teams. Early adoption needs translators, not researchers.
Expensive external consultants	Consulting engagements often produce strategy decks, not working pilots. Internal champions outperform external advisors for first-wave adoption.

Each of these roles may become valuable once AI is embedded across the organisation and you need custom solutions or enterprise-scale governance. But hiring them before you have a single working pilot is like hiring a head of international operations before you have sold anything domestically.

3. The Four Essential Roles

A lean AI adoption team requires exactly four roles. Most can be filled by existing employees with a modest training investment.

Role 1 — Executive Sponsor

This is a C-level leader (often the CEO, COO, or CTO) with budget authority and organisational credibility. The sponsor does not manage AI projects day-to-day. Instead, they set the strategic vision, remove organisational obstacles when departments resist, and publicly celebrate early wins to build momentum. Without visible executive commitment, middle managers treat AI as optional — and optional initiatives die.

Role 2 — AI Champions (one to two per department)

AI champions are tech-comfortable employees who are respected by peers and naturally enthusiastic about learning new tools. They are not IT staff; they are sales reps, marketing managers, operations analysts, or finance leads who happen to be early adopters. Their job is to become power users of AI tools and then coach colleagues in their department. Champions are the front-line adoption drivers — they translate abstract AI capabilities into department-specific workflows.

Selection criteria for champions: they volunteer rather than being assigned; they have enough organisational tenure to be trusted by peers; they are comfortable with ambiguity (early AI tools are imperfect); and they communicate clearly enough to train others.

Role 3 — IT & Security Liaison

This person ensures that AI implementations are safe and compliant without creating bureaucratic roadblocks. They review vendor security certifications, set data-handling policies, and establish guardrails — but they do not have veto power over every pilot. The liaison's mandate is to enable safe adoption, not to prevent adoption in the name of safety.

Role 4 — Success Metrics Owner

Someone from operations, finance, or analytics who tracks results and reports progress. This role is critical because AI adoption without measurement devolves into expensive experimentation. The metrics owner establishes baselines before pilots launch, defines KPIs for each use case, and produces monthly dashboards showing time saved, error reduction, revenue impact, or cost avoidance.

Role	Filled By	Key Responsibility	Time Commitment
Executive Sponsor	C-level leader	Vision, obstacle removal, celebrating wins	2–4 hours/week
AI Champions	1–2 per department	Power-user coaching, workflow translation	4–6 hours/week
IT & Security Liaison	Senior IT/InfoSec	Safe enablement, vendor review, guardrails	3–5 hours/week
Success Metrics Owner	Ops / Finance / Analytics	Baselines, KPIs, progress dashboards	3–5 hours/week

4. Training Requirements by Role

Each role needs different training, and none of it is lengthy or expensive. Total investment across all roles is typically under ten thousand dollars for most organisations.

Role	Training Content	Duration	Delivery Options
Executive Sponsor	Strategic AI workshop: business applications, use cases, ROI models	4 hours	External facilitator, executive peer group, or online course
AI Champions	Hands-on tool training + prompt engineering best practices	1 full day	Vendor-provided training, online courses, or internal bootcamp
IT & Security Liaison	AI security, data handling, governance frameworks	Half day	Vendor security briefings, compliance training platforms
Success Metrics Owner	AI measurement, establishing baselines, calculating ROI	Half day	Analytics team workshops, ROI template walkthroughs

The key principle is practical, hands-on training — not theoretical lectures. Champions should leave their training session able to use at least two AI tools fluently in real work scenarios. The metrics owner should leave with a completed ROI template they can populate during the first pilot.

5. Scaling the Team — From Champions to Specialists

At some point, the lean four-role team is not enough. The question is when to invest in dedicated AI talent — data scientists, machine-learning engineers, or a formal AI Centre of Excellence.

Three scenarios justify bringing in specialists:

- **Scenario 1 — Exhausted off-the-shelf tools:** You have scaled AI across the organisation using commercial platforms and now need custom solutions for competitive advantage. Example: a retailer whose recommendation engine needs proprietary algorithms trained on first-party purchase data.
- **Scenario 2 — Proprietary data advantage:** You have unique datasets that cannot be exposed to third-party tools and that, when modelled correctly, create defensible competitive advantage. Example: a hedge fund's trading signals or a pharmaceutical company's molecular screening data.
- **Scenario 3 — Proven ROI funds the investment:** AI savings from bought tools generate enough budget to invest in advanced, custom capabilities. This is the healthiest path — specialists are funded by the value AI has already created, not by a speculative bet.

For most companies, this transition happens twelve to eighteen months after starting the AI journey — not on day one. Hiring specialists before you have specific needs and budget justification is the corporate equivalent of buying a commercial kitchen before you have learned to cook at home.

Real-World Incident — Zillow Offers (2021): Zillow hired hundreds of data scientists and engineers to build a custom AI for home price prediction, investing over three hundred million dollars. The model consistently mispriced homes, leading Zillow to accumulate billions in overvalued inventory. The company shut down the division and laid off two thousand employees. The lesson: even well-resourced companies can fail

spectacularly when they hire specialists before validating whether AI can solve the business problem with simpler, cheaper tools first.

6. Common Mistakes in AI Team Building

Mistake	Why It Happens	Better Approach
Hiring specialists first, then searching for problems	Leadership equates AI readiness with headcount	Start with a business problem, prove it with off-the-shelf tools, then hire if custom work is needed
Centralising AI in a single department	Desire for control and visibility	Embed champions in every department; centralise governance only
Assigning AI champion roles to unwilling participants	Managers nominate based on seniority, not enthusiasm	Let champions self-select; enthusiasm predicts success better than seniority
Skipping the metrics owner role	Feels like overhead; teams want to move fast	Without measurement, you cannot prove ROI, which means you cannot secure budget for Phase 2
Over-training before doing	Fear of mistakes leads to analysis paralysis	Give champions one day of training and one real task the next morning

7. Building Cross-Functional Collaboration

The lean team model only works if the four roles collaborate effectively. In practice, this means establishing a simple governance rhythm:

- **Weekly stand-up (30 minutes):** Champions share what they tried, what worked, and where they are stuck. The IT liaison flags any security or compliance issues. The metrics owner shares early data.
- **Monthly executive review (60 minutes):** The sponsor reviews progress against KPIs, decides whether to expand pilots, and removes any organisational blockers raised in weekly stand-ups.
- **Quarterly strategic review (half day):** The full team assesses which use cases to scale, which to sunset, and whether the organisation is ready to move from Phase 1 (pilot) to Phase 2 (scale).

This cadence keeps AI adoption visible without creating excessive meeting overhead. It also gives the executive sponsor regular opportunities to signal commitment — which is the single most important driver of middle-management buy-in.

8. Budget Planning for the Lean AI Team

One advantage of the lean model is that the cost is remarkably low. Since you are redeploying existing employees rather than hiring new ones, the incremental costs are limited to training and tools.

Budget Item	Estimated Cost	Notes
Training (all roles)	\$5,000–\$10,000	One-time; mix of vendor training, online courses, and internal workshops

AI tool licences (pilot phase)	\$5,000–\$15,000/quarter	20–50 pilot users at \$20–\$60/user/month
Champion time allocation	\$0 incremental	Champions spend 4–6 hours/week; absorbed into existing workload
External facilitator (optional)	\$2,000–\$5,000	One-time kickoff workshop for executive sponsor and champions

Total first-quarter investment is typically fifteen thousand to thirty thousand dollars — less than the cost of a single external consultant engagement. This makes the lean team model not only faster but dramatically cheaper than the alternative of building a dedicated AI department from scratch.

9. Key Terms Glossary

Term	Definition
Executive Sponsor	A C-level leader who provides budget authority, strategic vision, and organisational credibility for AI adoption efforts
AI Champion	A tech-comfortable, peer-respected employee embedded in a business unit who drives front-line AI adoption and coaches colleagues
IT & Security Liaison	A senior IT or information-security professional who ensures AI implementations meet security and compliance requirements without blocking adoption
Success Metrics Owner	An operations, finance, or analytics professional responsible for establishing baselines, tracking KPIs, and reporting AI ROI
Centre of Excellence (CoE)	A centralised team of AI specialists that provides governance, best practices, and advanced technical capabilities — typically established after initial AI adoption is proven
Prompt Engineering	The practice of crafting effective inputs (prompts) to AI tools to produce accurate, useful, and relevant outputs
Build vs Buy	The strategic decision between developing custom AI solutions in-house versus purchasing commercial off-the-shelf AI tools
Phase 1 / Phase 2	Common staging terminology where Phase 1 is pilot/proof-of-concept and Phase 2 is scaling proven AI use cases across the organisation

10. Quick Revision Checklist

- You do not need a Chief AI Officer, a dedicated AI department, or PhD-level specialists in the first ninety days
- Four roles are sufficient: Executive Sponsor, AI Champions, IT & Security Liaison, and Success Metrics Owner
- Most roles can be filled by existing employees with minimal training (total cost under \$10,000)
- AI Champions should self-select — enthusiasm is a stronger predictor of success than seniority
- The IT liaison's mandate is to enable safe adoption, not to prevent adoption

- Measurement (the metrics owner) is not optional — it is the mechanism for proving ROI and securing future budget
- Weekly stand-ups, monthly executive reviews, and quarterly strategic reviews provide the right governance cadence
- Hire specialists only after twelve to eighteen months, when you have exhausted off-the-shelf tools and have proven ROI to fund the investment
- Total first-quarter budget for the lean team model is typically \$15,000–\$30,000
- The lean model works because AI adoption is a cross-functional capability, not a centralised function

20 Exam-Based MCQs — Building Your AI Team

Test yourself after reading. These questions are written in real exam style — scenario-heavy, with plausible distractors. Read every explanation, including for questions you answered correctly.

Q1. What is the PRIMARY reason for starting AI adoption with existing employees rather than hiring specialists?

- A) Existing employees are cheaper to retain than new hires
- B) Specialists are unnecessary because AI tools are simple enough for anyone
- C) Embedding AI in business units prevents it from becoming a disconnected silo
- D) Employment regulations make it difficult to hire AI specialists quickly

Answer: C **Explanation:** C is correct because the lean team model's core advantage is keeping AI embedded in the business functions that use it, rather than separating it into a centralised department that operates at a distance from real workflows. A is partially true but is a secondary benefit, not the primary strategic reason. B is incorrect — AI tools still require training and skill; the point is that existing staff can learn them. D is fabricated and not a factor in this decision.

Q2. *Scenario:* A mid-size insurance company wants to begin AI adoption. The CEO has asked the CTO to hire a Chief AI Officer and build a ten-person AI team before any pilots begin. The CTO is concerned this approach may slow things down. What should the CTO recommend instead?

- A) Proceed with hiring the Chief AI Officer but reduce the team to five people
- B) Start with four lean roles filled by existing employees and defer specialist hiring until pilots prove ROI
- C) Outsource the entire AI initiative to a consulting firm with AI expertise
- D) Ask each department head to independently select and deploy AI tools

Answer: B **Explanation:** B is correct because the lean four-role model delivers faster results with lower cost and risk, while proving ROI before committing to expensive permanent hires. A still front-loads expensive hiring before there is anything to manage. C replaces one form of overhead (internal team) with another (consulting dependency) and rarely produces sustainable internal capability. D creates fragmentation and security risks without any coordination or measurement.

Q3. Which of the following is NOT one of the four essential roles in the lean AI adoption team?

- A) Executive Sponsor
- B) Data Scientist
- C) AI Champion
- D) Success Metrics Owner

Answer: B **Explanation:** B is correct — Data Scientist is not one of the four essential roles. The four roles are Executive Sponsor, AI Champions, IT & Security Liaison, and Success Metrics Owner. Data scientists may be hired later when custom AI solutions are needed, but they are unnecessary in the first ninety days when off-the-shelf tools handle most use cases.

Q4. *Scenario:* A retail company has appointed AI champions across five departments. After three weeks, the head of logistics reports that their champion has not made any progress. Investigation reveals the champion was nominated by their manager because of seniority, not personal interest in AI. What does this situation MOST likely indicate?

- A) The logistics department is not suitable for AI adoption
- B) The champion selection process should prioritise enthusiasm and self-selection over seniority
- C) The training provided to champions was insufficient
- D) The executive sponsor failed to remove organisational obstacles

Answer: B **Explanation:** B is correct because the root cause is a champion who was assigned rather than self-selected. Enthusiasm and intrinsic motivation are the strongest predictors of champion effectiveness. A is incorrect — the department may be highly suitable, but the wrong person was chosen. C is plausible but the problem is motivation, not knowledge. D is incorrect because the obstacle is the champion's lack of engagement, not an organisational barrier.

Q5. What is the primary role of the IT & Security Liaison in the lean AI team?

- A) To approve or reject every AI tool before any employee can use it
- B) To ensure AI implementations are safe and compliant without creating bureaucratic roadblocks
- C) To build custom AI solutions that meet the organisation's security requirements
- D) To train all employees on cybersecurity fundamentals before AI tools are deployed

Answer: B **Explanation:** B is correct — the liaison's mandate is to enable safe adoption, not to prevent adoption in the name of safety. A describes a gatekeeper role that would slow adoption and is explicitly what the lean model avoids. C is the job of an AI engineer, not a liaison. D is a worthwhile activity but is not the liaison's primary responsibility in the AI adoption team.

Q6. *Scenario:* A financial services firm launched three AI pilots six weeks ago. The executive sponsor asks for a progress update, but no one has been tracking metrics. Each department reports anecdotally that 'things seem to be going well' but cannot quantify time saved, errors reduced, or revenue impact. Which role was most critically missing from the AI team?

- A) AI Champion

- B) IT & Security Liaison
- C) Success Metrics Owner
- D) External AI Consultant

Answer: C **Explanation:** C is correct because the inability to quantify results is precisely what happens when the Success Metrics Owner role is unfilled. Without baselines, KPIs, and dashboards, the organisation cannot prove ROI and will struggle to secure budget for scaling. A is unlikely — pilots are running, so champions are present. B addresses security, not measurement. D is not one of the essential roles and would not necessarily solve the measurement gap.

Q7. What is the recommended time commitment for AI Champions during the pilot phase?

- A) Full-time dedication for the first ninety days
- B) Four to six hours per week, absorbed into existing workload
- C) One hour per week of status reporting only
- D) Two full days per month of concentrated effort

Answer: B **Explanation:** B is correct — champions operate part-time (four to six hours per week) alongside their regular roles, which keeps the cost incremental and ensures they remain embedded in their departments. A would pull champions away from the business units they are meant to influence. C is too little time to become a power user and coach colleagues. D creates an uneven rhythm that is harder to sustain.

Q8. *Scenario:* A healthcare organisation's CEO wants to hire five machine-learning engineers immediately to build a custom patient-triage AI. The CTO argues they should first pilot an off-the-shelf clinical decision-support tool. The CEO insists that custom AI will provide competitive advantage. What is the BEST argument for the CTO's position?

- A) Machine-learning engineers are too expensive for a healthcare organisation's budget
- B) Custom AI projects have a seventy to eighty percent failure rate, and the organisation should validate the use case with cheaper tools before committing to a multi-million-dollar build
- C) Off-the-shelf tools are always superior to custom AI solutions in healthcare
- D) Hiring machine-learning engineers will take too long due to the current talent shortage

Answer: B **Explanation:** B is correct because it addresses both the financial risk (high failure rate) and the strategic logic (validate before investing). The lean model advocates proving the use case cheaply before committing to expensive custom development. A may be true but is not the strongest argument. C is an overstatement — custom AI can be superior in specific scenarios. D is a practical concern but does not address the strategic question of whether custom AI is the right approach.

Q9. At what point should an organisation consider hiring dedicated AI specialists such as data scientists?

- A) Before launching any AI pilots, to ensure technical readiness

- B) After twelve to eighteen months, when off-the-shelf tools are exhausted and proven ROI funds the investment
- C) As soon as the executive sponsor approves the AI strategy document
- D) When competitors announce their own AI hiring initiatives

Answer: B **Explanation:** B is correct because it represents the natural progression: start lean, prove value with commercial tools, then invest in specialists when you have specific needs and budget generated by AI savings. A front-loads cost before validation. C conflates strategy approval with operational readiness. D is a reactive, fear-driven approach that leads to hiring without purpose.

Q10. Scenario: *A manufacturing company has been using AI tools for fourteen months. They have scaled ChatGPT Enterprise across all departments and achieved a documented \$2.3 million in annual savings. The operations team now wants a custom predictive-maintenance model trained on proprietary sensor data. Based on the lean team model, is this the right time to hire AI specialists?*

- A) No — they should continue using off-the-shelf tools exclusively
- B) Yes — they have exhausted general-purpose tools, have proprietary data needs, and have proven ROI to fund the investment
- C) No — specialist hiring should wait until at least twenty-four months after initial adoption
- D) Yes — but only if they can hire at least ten specialists to form a complete AI department

Answer: B **Explanation:** B is correct because all three conditions for hiring specialists are met: off-the-shelf tools are exhausted for this use case, proprietary data creates a genuine advantage, and proven ROI provides budget justification. A ignores the legitimate need for custom capability. C applies an arbitrary timeline — the trigger is conditions, not calendar months. D imposes unnecessary scale; a small, focused team can build a single predictive model.

Q11. What is the recommended governance cadence for the lean AI team?

- A) Daily stand-ups, weekly executive reviews, monthly board presentations
- B) Weekly stand-ups, monthly executive reviews, quarterly strategic reviews
- C) Bi-weekly all-hands meetings with the entire organisation
- D) Monthly written reports submitted to the executive sponsor with no meetings required

Answer: B **Explanation:** B is correct — weekly 30-minute stand-ups keep champions aligned, monthly 60-minute executive reviews maintain sponsor engagement and remove blockers, and quarterly half-day strategic reviews assess scaling decisions. A is excessive and creates meeting fatigue. C involves too many people and loses focus. D eliminates the interactive problem-solving that stand-ups and reviews provide.

Q12. Scenario: *A technology company's AI champion in the marketing department has become an effective power user and has trained six colleagues. However, the finance department's champion resigned last week. The executive sponsor suggests merging finance into marketing's AI initiative temporarily. What is the BEST course of action?*

- A) Accept the merger — marketing's champion can cover both departments

- B) Recruit a new self-selected champion from within the finance department to maintain embedded, department-specific adoption
- C) Pause AI adoption in finance until a replacement can be hired externally
- D) Assign the IT & Security Liaison to temporarily cover the finance champion role

Answer: B **Explanation:** B is correct because the champion model works precisely because champions are embedded in their own departments and understand department-specific workflows. A would stretch the marketing champion thin and lose finance-specific context. C unnecessarily delays adoption. D misuses the liaison role and creates a conflict between security oversight and adoption advocacy.

Q13. What is the estimated total first-quarter budget for implementing the lean AI team model?

- A) \$50,000–\$100,000
- B) \$100,000–\$250,000
- C) \$15,000–\$30,000
- D) \$1,000–\$5,000

Answer: C **Explanation:** C is correct — the lean model costs \$15,000–\$30,000 in the first quarter, covering training (\$5,000–\$10,000), tool licences (\$5,000–\$15,000), and optionally an external facilitator (\$2,000–\$5,000). Champion time is absorbed into existing workloads at zero incremental cost. A and B dramatically overestimate. D underestimates the tool licence and training costs.

Q14. *Scenario:* A consumer goods company has just hired a prestigious AI consulting firm for \$500,000 to develop an AI strategy over six months. Three months in, the consultants have delivered a 200-page strategy document but no working AI tools have been deployed. Employee enthusiasm for AI is declining. What fundamental principle of the lean team model did this company violate?

- A) They failed to appoint an executive sponsor
- B) They invested in external strategy instead of internal capability and rapid experimentation with working tools
- C) They did not hire enough consultants to cover all departments
- D) They should have chosen a different consulting firm with more AI experience

Answer: B **Explanation:** B is correct because the lean model explicitly warns against expensive consultants running AI programs. Consulting engagements often produce strategy decks, not working pilots. Internal champions outperform external advisors for first-wave adoption because they understand the business and can deploy tools immediately. A may or may not be true but is not the primary issue. C and D double down on the consulting approach rather than questioning it.

Q15. Why should AI champions be embedded in business departments rather than centralised in an AI team?

- A) Because centralised teams are more expensive to operate
- B) Because department-embedded champions understand local workflows and have peer credibility to drive adoption within their teams

- C) Because IT departments do not have the budget for a centralised team
- D) Because centralised teams violate most corporate governance frameworks

Answer: B **Explanation:** B is correct — champions succeed because they translate AI capabilities into department-specific workflows using their local knowledge and peer relationships. Centralised teams lack this context and credibility. A is a secondary benefit, not the primary reason. C is a budget argument that misframes the issue. D is fabricated — there is no governance prohibition on centralised AI teams.

Q16. Scenario: *An energy company has completed its first ninety days of AI adoption. The four-role lean team is functioning well, and three pilots have demonstrated positive ROI. The executive sponsor now wants to scale AI across all departments. The current champions are overwhelmed. What is the MOST appropriate next step?*

- A) Hire a full AI department with a Chief AI Officer to manage the scaled programme
- B) Recruit additional AI champions in new departments while retaining the lean governance structure
- C) Slow down scaling until the current champions can handle the additional workload
- D) Replace the lean team model entirely with an external managed-services provider

Answer: B **Explanation:** B is correct because scaling the champion network is the natural next step — add more champions in new departments while keeping the proven governance cadence (weekly stand-ups, monthly executive reviews). A leaps to a full department prematurely. C unnecessarily delays proven value. D abandons internal capability that is working.

Q17. What is the MOST important characteristic when selecting AI champions?

- A) Technical expertise in machine learning and data science
- B) Seniority and years of experience in the organisation
- C) Voluntary enthusiasm combined with peer credibility and comfort with ambiguity
- D) Formal project management certification

Answer: C **Explanation:** C is correct — enthusiasm (self-selection), peer respect, and comfort with imperfect tools are the strongest predictors of champion effectiveness. A describes a specialist, not a champion. B is explicitly warned against — seniority-based selection often produces reluctant champions. D is unrelated to the adoption-driver role.

Q18. Scenario: *A law firm's managing partner wants every lawyer to complete a forty-hour AI certification course before anyone is allowed to use AI tools. The IT director argues this will delay adoption by six months and reduce enthusiasm. Based on the lean team model's training philosophy, who is correct?*

- A) The managing partner — comprehensive training prevents costly mistakes
- B) The IT director — training should be brief, practical, and hands-on, with champions learning by doing real work immediately
- C) Neither — no training is needed because modern AI tools are intuitive

D) Both — they should compromise on a twenty-hour certification course

Answer: B **Explanation:** B is correct because the lean model advocates practical, hands-on training: one day for champions, half a day for other roles. Over-training before doing creates analysis paralysis. Champions should leave training with one real task to complete the next morning. A delays adoption and risks losing momentum. C ignores that effective AI use (especially prompt engineering) requires skill development. D still over-invests in formal training.

Q19. What lesson does the Zillow Offers case (2021) teach about AI team building?

- A) AI should never be used for real estate pricing
- B) Organisations should validate whether AI can solve a business problem with simpler tools before investing hundreds of millions in custom development and specialist hires
- C) Data scientists are inherently unreliable and should not be trusted with business decisions
- D) AI adoption should be managed by external consultants rather than internal teams

Answer: B **Explanation:** B is correct — Zillow invested over \$300 million in custom AI and specialist hires without first validating the use case with cheaper tools. The model consistently mispriced homes, leading to billions in losses and 2,000 layoffs. A overgeneralises from one failure. C blames individuals rather than the strategic decision to skip validation. D is unrelated to the Zillow case and contradicts the lean model.

Q20. *Scenario:* A pharmaceutical company's board has approved \$2 million for AI adoption. The CIO proposes spending \$1.5 million on hiring three senior data scientists and \$500,000 on cloud infrastructure, with the first deliverable expected in twelve months. The COO proposes spending \$30,000 on lean team training and tools, with the first working pilot expected in four weeks. Which proposal better aligns with the lean AI adoption model, and why?

- A) The CIO's proposal — pharmaceutical AI requires specialised talent from the start due to regulatory complexity
- B) The COO's proposal — it validates use cases quickly and cheaply before committing to large investments, preserving the remaining budget for scaling proven approaches
- C) Neither — the company should wait until AI technology matures further before investing
- D) A hybrid approach spending \$1 million on each proposal simultaneously

Answer: B **Explanation:** B is correct because the COO's approach follows lean model principles: start small, prove value fast, then scale with evidence. Spending \$30,000 to get a working pilot in four weeks provides data to inform whether the remaining \$1.97 million should fund specialists, tools, or entirely different use cases. A assumes regulatory complexity requires specialists from day one, but off-the-shelf tools can handle many compliant use cases. C ignores that AI tools are already mature enough for immediate business value. D wastes resources by running an expensive unvalidated track alongside a validated one.